



ECONOMICS IN 60 SECONDS

Issue #010

The Sunk Cost Fallacy

The hardest thing to walk away from is not what still holds value. It is what has already cost us the most.



TIMELESS IDEAS. EVERYDAY IMPACT.

NINETY MINUTES INTO A BAD FILM

**You know it is awful.
You stay anyway.**

The film is dull. You have somewhere better to be. Yet you stay, because you have already given it ninety minutes, and leaving now would mean wasting them. So you spend thirty more, and walk out having lost not ninety minutes, but two full hours.

The ninety minutes were already gone.

WHY THE SPENT FEELS UNSPENDABLE

The more we pour in,
the harder it is
to stop.

Walking away can feel like an admission that everything before it was wasted. So we keep going to protect the past, and quietly hand the future to it as well. The bigger the loss behind us, the tighter the trap holds.

THE MORE ALREADY SPENT



THE HARDER TO WALK AWAY

THE MORE ALREADY SPENT

THE HARDER TO WALK AWAY

What is gone is gone.
Decide from **here**.



WHAT YOU SPENT



WHAT HAPPENS
NEXT

CONCORDE

The plane so famous for this, economists named the trap after it.

Britain and France knew for years the supersonic jet would never repay its cost. They kept funding it anyway, precisely because they had already spent so much. The losses behind them justified the losses ahead. Economists still call it the Concorde fallacy.



GOOD MONEY AFTER BAD

The project everyone knows should stop

A product is failing. The honest call is to kill it. But millions are already spent, careers are attached, and stopping feels like defeat. So the budget is renewed, again, to protect a past that no decision can ever bring back.

THE TRAP

"We have come too far to stop now."

THE DISCIPLINE

"Would we start this today, knowing what we know?"

"We cannot stop. Think of all we have already **spent**." The most expensive sentence in public life.

Half-built dams, overrun rail lines, weapons programmes the generals no longer want: each kept alive by the billions behind it. The honest question is never how much we have sunk, but whether the next rupee is worth spending at all.

YOU HAVE LIVED THIS

The degree, the stock, the relationship

The course you finished only because you had started it. The shares you held because selling meant admitting the loss. The years that kept you somewhere long after it stopped being right. Each one a tribute paid to a past that could not be refunded.

Loyalty to the past is the **tax** we pay on it.



What are you still holding on to, only because of how much it has already cost you?

You need not answer aloud. But answer honestly. The sharpest reply shapes a future issue.



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KNOWLEDGE. INSIGHT. IMPACT.

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ONE IDEA. BETTER DECISIONS.

Next issue, #011 · Supply and Demand

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